



ILLUSTRATION BY **RAJ VERMA**

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has been on a tear this year, even as food inflation crossed 10 per cent in June in the US, and nothing that the European Central Bank or the US Federal Reserve can do will reverse it easily. The gods of the financial world seem powerless in front of the forces of nature.

Now what if these events were not one-off aberrations, but the tip of the iceberg? Everyone in the economic universe is always in a tearing rush to proclaim the end of a crisis and 'move on' to the next phase of growth and profits, even as wiser men warn us against it. Bill Gates and the World Health Organization are on record saying that there will be more pandemics soon, perhaps even deadlier than the present one. If this prediction, of a Covid-19-like pandemic every few years, was to come true, where would it leave prospects for global growth?

The World Meteorological Organization or WMO warns that heatwaves and forest fires will become recurring features, heavily impacting crops in years to come. Will food inflation be tamed then, through interest rate hikes?

These days, it is not uncommon

to hear people talk about the possibility of another Black Swan event in the financial markets, triggered by the recent inflation and recession concerns. But, in this milieu of climate change, how far are we from a colossal natural disaster like the 2004 Asian tsunami or the 2011 earthquake in Japan? The prospect is too painful to even contemplate, though the threat so very real.

It may suit politicians to underplay these perils, but the general public is not fooled. As populations recognise this inability of their elected governments to undo the damage and address their woes, unrest is creeping in. With inflation and cost of living issues spiralling out of control, political instability of the likes seen in Sri Lanka or Brazil may become more widespread, further imperilling an already fraught world.

The truth is that we have pushed our planet beyond a tipping point. The future is now full of unknown-unknowns, though it would be fairer to call them known-unknowns as this is all our doing, and we should have seen it coming. None of this should surprise us, really.

Slowly, it is beginning to dawn upon CEOs of giant corporations, and leaders of the western world, that the planet is in a scary place. For too long, they have focussed only on the benefits of growth, ignoring all the costs. Now, the chickens are coming home to roost and there is no place for them to hide. Till recently, they would say tactful things about climate change and ESG, only to roll their eyes in private and dismiss it all as alarmist, leftist tripe. Not any longer, for now the fire has reached their own doorstep. This is no longer an African or Asian nightmare they can afford to ignore. But it is too late, already.

We are used to a world where periods of expansion dwarf intermittent bouts of contraction, but could soon be simply lurching from one crisis to another, with the very notion of a regular cycle fundamentally altered. The world's economic graph over the next few decades may not resemble the gentle undulating humps of a camel's back inexorably sloping higher, but jagged shards of broken glass. Many of those tips will be pointing southwards. **BT**